Samsara 2035 Investment Thesis

Can It Become the Operating System for the Physical Economy

Independent investment research by Ben Douglas

15 September 2026

Research exercise prepared for graduate investment research applications

Central judgement

Samsara has a credible route to becoming several times larger by 2035 because its wedge in telematics is expanding into a data and workflow layer for physical operations. The company quality case is stronger than the current valuation case: at $42.91 per share, a fivefold shareholder outcome requires an upper-tail combination of sustained growth, high mature cash margins and a supportive terminal valuation.

My conclusion is positive but valuation-sensitive. I would place Samsara on a watchlist and focus future research on whether emerging products are becoming independently material, whether enterprise expansion remains broad-based, and whether stock-based compensation converts into acceptable per-share economics.

This document is independent research and not investment advice. Company market-size and customer-benefit claims are identified as management estimates or customer-reported evidence.

Executive Summary

The investment question is not whether fleet software will grow. It is whether Samsara can use a dense stream of vehicle, equipment, video and workforce data to become the system through which physical businesses detect problems, take action and prove the result. That distinction determines whether Samsara remains a premium telematics vendor or earns platform-like economics across a much larger set of operational budgets.

Evidence	Current position	Interpretation
Scale	$2.125bn ARR and 30% growth	Large enough to prove product-market fit; still small beside the addressable workflow set
Enterprise	3,605 customers above $100k ARR	The fastest-growing cohort and the main route to multi-product expansion
Product	>$150m emerging-product ARR	Evidence beyond the original fleet wedge, but only about 7% of total ARR
Economics	77% GAAP gross margin and 13% Q2 FCF margin	Hardware-inclusive model is showing operating leverage
Valuation	$25.3bn market cap	Roughly 11.7 times FY27 revenue after net cash; execution is already expected

What I think the market may be missing

- The valuable data asset is not its raw volume. It is labelled, time-series data embedded inside repeatable workflows, with a feedback loop from detection to intervention to measured outcome.
- Physical-operations software can draw from fuel, insurance, labour, maintenance and asset budgets. Those budgets are larger and less discretionary than the CIO software line that normally frames SaaS analysis.
- AI agents may monetise actions rather than seats. That makes Samsara less exposed to seat compression than conventional knowledge-work software, while creating a new risk if customers refuse separate agent pricing.
- The strongest evidence is enterprise expansion: customers above $1m ARR generated more than $500m ARR and grew above 50% year on year for a third consecutive quarter.

What the market is already pricing

The valuation already assumes a long runway and substantial margin expansion. My base case produces a sound long-term outcome, not an obvious bargain. The equity becomes exceptional only if emerging applications broaden the revenue base while dilution falls and free cash flow margins approach the high twenties or better.

The Company and the Strategic Question

Samsara sells a subscription platform that combines connected devices, cellular connectivity, cloud software, APIs and support. Its applications include telematics, video-based safety, asset tracking, maintenance, routing, commercial navigation, connected forms, training and site visibility. Approximately 98% of FY26 revenue came from subscriptions, generally priced per asset and per application.[1]

The product starts with visibility but becomes more valuable when the same data drives a workflow. A harsh-braking event can trigger video review and coaching; an engine fault can create a maintenance intervention; a missed inspection can escalate before a vehicle is dispatched. If customers operate these loops inside one platform, Samsara can displace point solutions and increase switching costs without depending on a single feature.

Management estimates that physical-operations industries represent more than 40% of global GDP and that Samsara addresses a $175bn market, of which $45bn relates to core products and $130bn to emerging products.[2] These figures are useful as a map of ambition, not as an investable forecast: the TAM combines third-party studies, internal estimates and products that are early or not yet generally available.

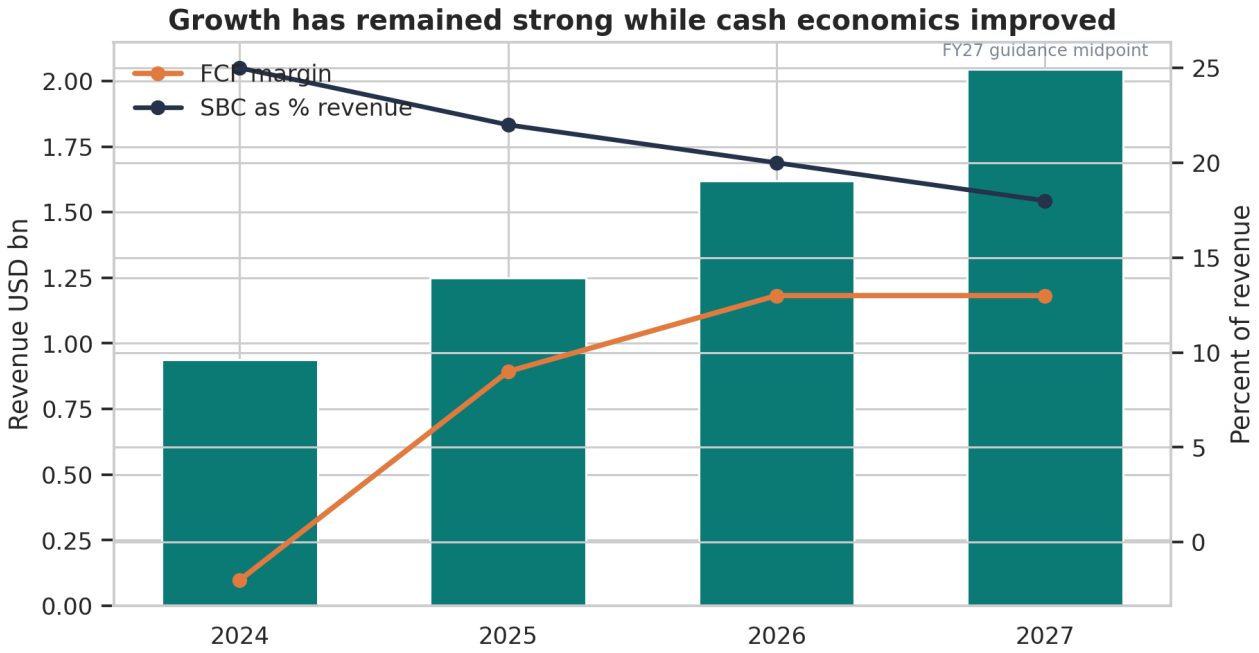


Figure 1 FY27 revenue is guidance midpoint; FY27 margin observations use Q2 or management target where appropriate
Sources 1 and 2

Why This Could Compound

An enterprise wedge with room to expand

At Q2 FY27, Samsara had 3,605 customers above $100,000 ARR, up from 2,771 a year earlier. ARR from this cohort reached about $1.3bn and grew 38%. Average ARR per large customer rose to about $369,000. The cohort above $1m ARR contributed more than $500m and grew above 50%.[1] This is better evidence of platform traction than logo growth alone because it requires customers to add assets, applications or organisational units.

A multi-product architecture

At its June 2026 Investor Day, Samsara reported that 96% of large customers used at least two products, 70% used at least three and 20% used at least four. Emerging products exceeded $150m ARR and contributed more than 20% of net new annual contract value for two consecutive quarters.[2] The critical question is whether this becomes a repeatable cross-sell system or reflects a temporary launch cycle.

Data that improves with deployment

Samsara processed more than 25 trillion data points in FY26 across video, GPS, motion, diagnostics, energy, compliance and asset utilisation.[3] Scale alone is not a moat; storage is cheap and competitors also collect fleet data. The potential advantage is the combination of diverse sensor inputs, labelled operational outcomes and software that can act on them. A model that identifies risk becomes more defensible when it is trained on varied conditions and tied to a workflow that customers already use.

Operational budgets rather than only IT budgets

Samsara argues that its top public customers spend roughly 78% of revenue on cost of goods sold and other operational expenses, compared with about 11% on conventional other expenses including IT.[2] The exact segmentation is management's interpretation, but the conceptual point is sound: a product that reduces collisions, fuel use, downtime or unbilled work can be justified against a measurable operating cost rather than a discretionary software budget.

Founder-led product development

Chief executive Sanjit Biswas and chief technology officer John Bicket founded Samsara in 2015 after building Meraki. Their continued operating roles support long-term product investment, while the dual-class structure reduces outside shareholders' influence. This is an advantage only while capital allocation and product judgement remain strong.[3]

Differentiated Insight

My differentiated view is that Samsara's long-run category is not telematics and not generic industrial IoT. It is an operational decision layer. The platform's economic value comes from closing three loops:

Loop	Example	Why it matters
Detect	Camera, GPS or fault-code signal	Creates real-time visibility where the alternative is manual, delayed or missing data
Act	Coach driver, reroute job or schedule repair	Turns information into an operational outcome rather than another dashboard
Prove	Measure incident, fuel or downtime change	Supports renewal, expansion and budget transfer from measurable savings

This framing also defines the moat test. If third-party hardware and open APIs make data portable while workflows remain shallow, customers can multi-home or switch. If Samsara becomes the place where policies, interventions and audit evidence live, the switching cost rises with organisational adoption. The relevant KPI is therefore not data points processed. It is the proportion of customers using several applications across multiple departments, with demonstrable outcomes and sustained net expansion.

Baillie Gifford has described Samsara's proprietary datasets as a potential route to capturing AI benefits.[6] My extension is more conditional: proprietary data matters only when Samsara owns the feedback loop that labels whether an intervention worked. That is what would let the company price agents on value created rather than merely bundle AI features into the subscription.

Operator Informed UK Case Study

To test the product from the customer's side, I mapped workflows observed in a UK heavy-haulage and plant operator. The model uses illustrative assumptions rather than confidential company data. Its purpose is to identify where information changes behaviour and how a buyer could set a rational price ceiling.

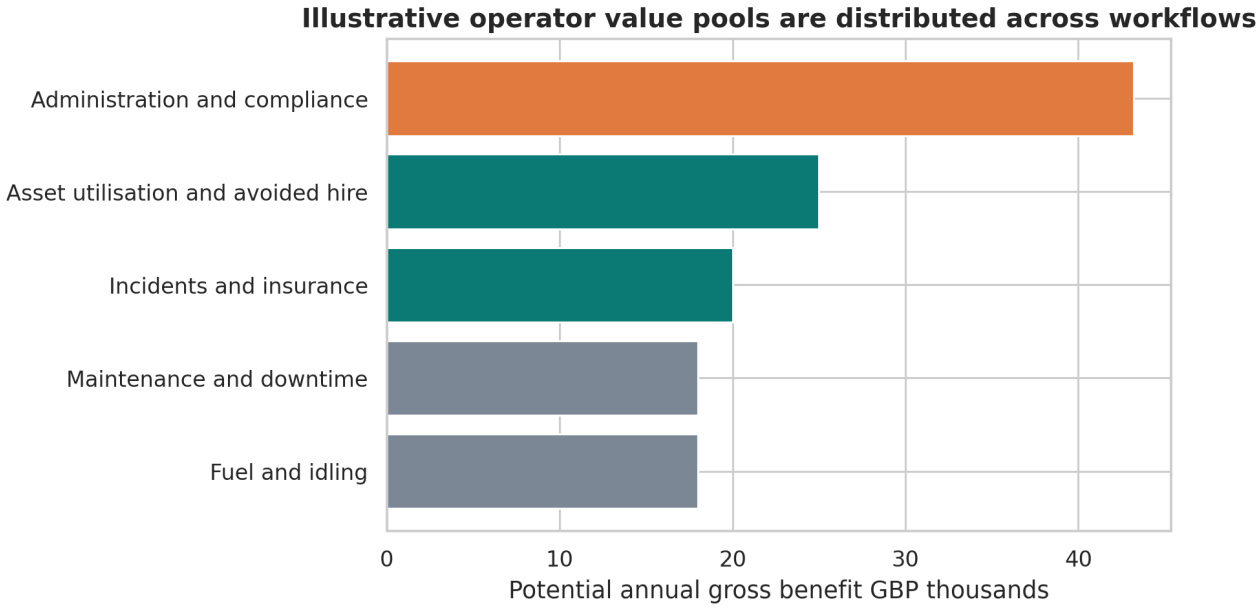


Figure 2 Illustrative gross benefits before implementation friction Replace assumptions with observed operator data

The five value pools sum to about £124,200 of annual gross benefit. Applying a deliberately conservative 50% realisation factor gives £62,100. For 60 powered assets, that implies a breakeven subscription and implementation envelope of about £1,035 per asset per year, or £86 per month. This is not an estimate of Samsara's price; pricing is quote-based. It is the maximum all-in cost at which the illustrative deployment breaks even in year one.

Observed problem	Relevant signal	Action and evidence
Vehicles idle or jobs drift	Location, ignition, route and task timestamps	Dispatch exception, utilisation trend and completed-job record
Maintenance becomes reactive	Fault codes, inspections, mileage and workshop history	Prioritised work order and avoided-breakdown evidence
Compliance creates admin	Tachograph, walkaround checks and digital forms	Exception queue and audit trail
Driver risk is discovered after an event	Video and behaviour events	Targeted coaching and before-after incident rate
Plant is difficult to locate or schedule	Asset position, movement and utilisation	Reduced hire, theft and search time

The case study weakens the idea that one headline ROI statistic is enough. Benefits sit across functions and require managers to act on the data. Product quality can create the opportunity, but change management determines realised value. For Samsara, implementation support and simple workflows are therefore part of the moat, not merely service overhead.

Financial Quality and Per Share Economics

FY26 revenue reached $1.619bn, up 30%, with 77% GAAP gross margin. Free cash flow was $207m, a 13% margin, while GAAP operating loss narrowed to $53m. Q2 FY27 revenue grew 30% to $508m, non-GAAP operating margin reached 21%, and GAAP operating margin was 1%.[1][3] The combination of hardware, cellular connectivity and software makes the 77% gross margin notable, although hardware supply and tariffs remain genuine margin risks.

Stock-based compensation was approximately 20% of FY26 revenue, down from 25% in FY24; management targeted 18% for FY27.[2] This is improving but still material. A valuation based on non-GAAP earnings can overstate owner economics if share count continues to grow. My scenarios therefore model annual dilution separately from reported free cash flow.

At 15 September 2026, Samsara traded at $42.91, implying a market capitalisation of about $25.3bn. Cash and marketable securities were about $1.3bn at Q2, producing an enterprise value near $24.0bn, or roughly 11.7 times the FY27 revenue guidance midpoint.[1] This is a demanding starting valuation even for a company growing near 30%.

Scenario Model

The model begins with the $2.045bn FY27 guidance midpoint. It projects annual revenue and free cash flow through FY35, discounts the explicit cash flows, and applies a terminal free-cash-flow yield. It adds current net cash and models dilution when calculating the FY35 per-share outcome. The scenarios are ranges of belief, not forecasts to decimal precision.

Case	FY35 revenue	Revenue CAGR	FY35 FCF margin	PV per share	FY35 share	Share CAGR
Bear	$4.8bn	11.3%	20%	$21	$26	-6.0%
Base	$7.6bn	17.9%	28%	$52	$73	7.0%
Bull	$10.6bn	22.8%	34%	$107	$169	18.7%

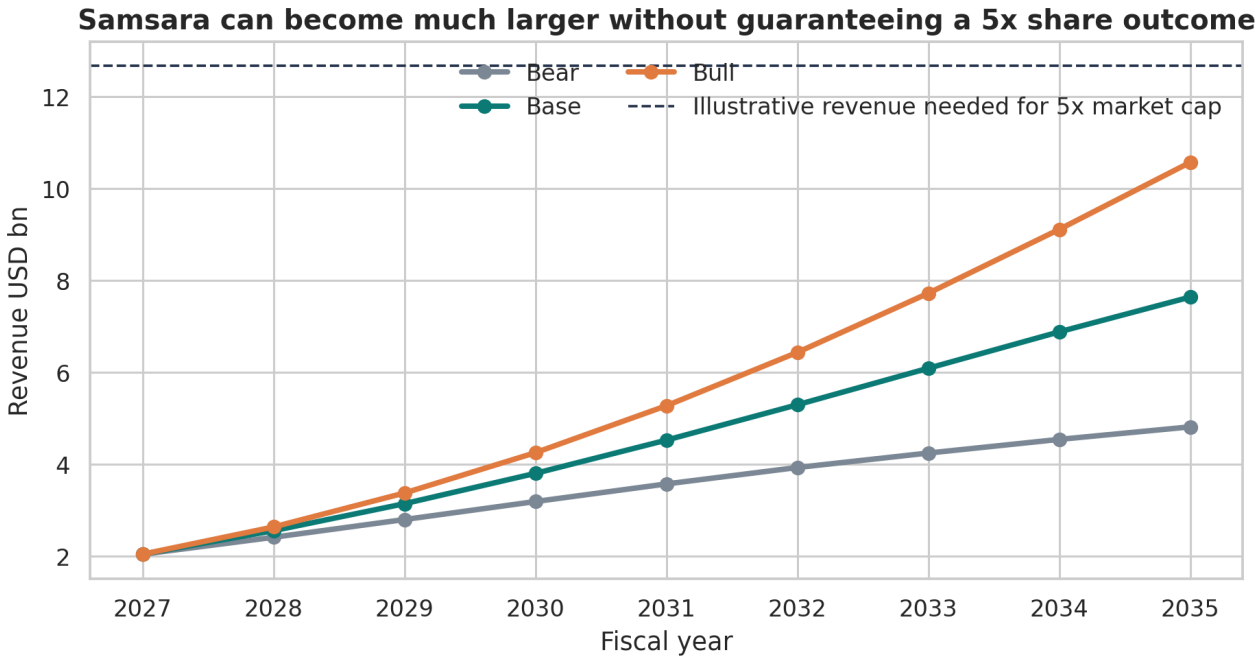


Figure 3 The dashed threshold assumes a 30% FCF margin and 3% terminal FCF yield for an illustrative fivefold market capitalisation

The base case supports a reasonable return but not a fivefold outcome. A fivefold market capitalisation from today's level would be about $127bn. At a 30% mature FCF margin and 3% terminal FCF yield, that would require roughly $12.7bn revenue in FY35, equivalent to about 26% compound growth from FY27. That is possible, but it leaves little room for category limits, competition, recession or valuation compression.

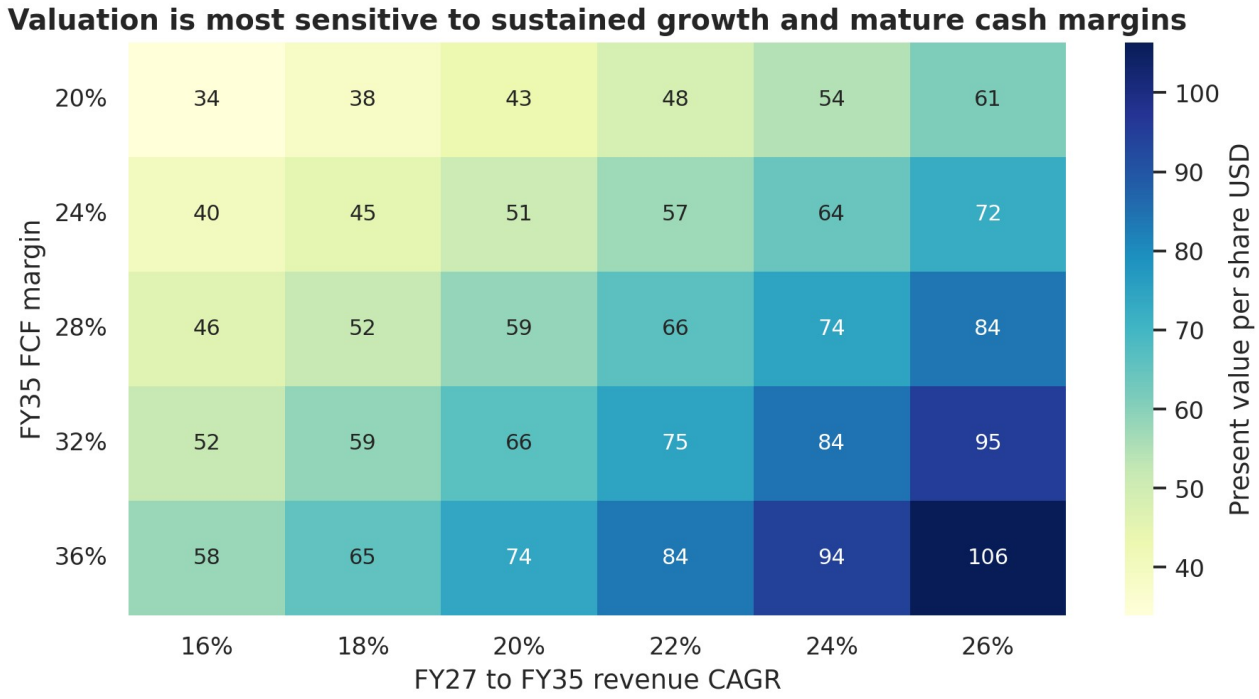


Figure 4 Present value at 9% discount rate and 4.5% terminal FCF yield All other assumptions held constant

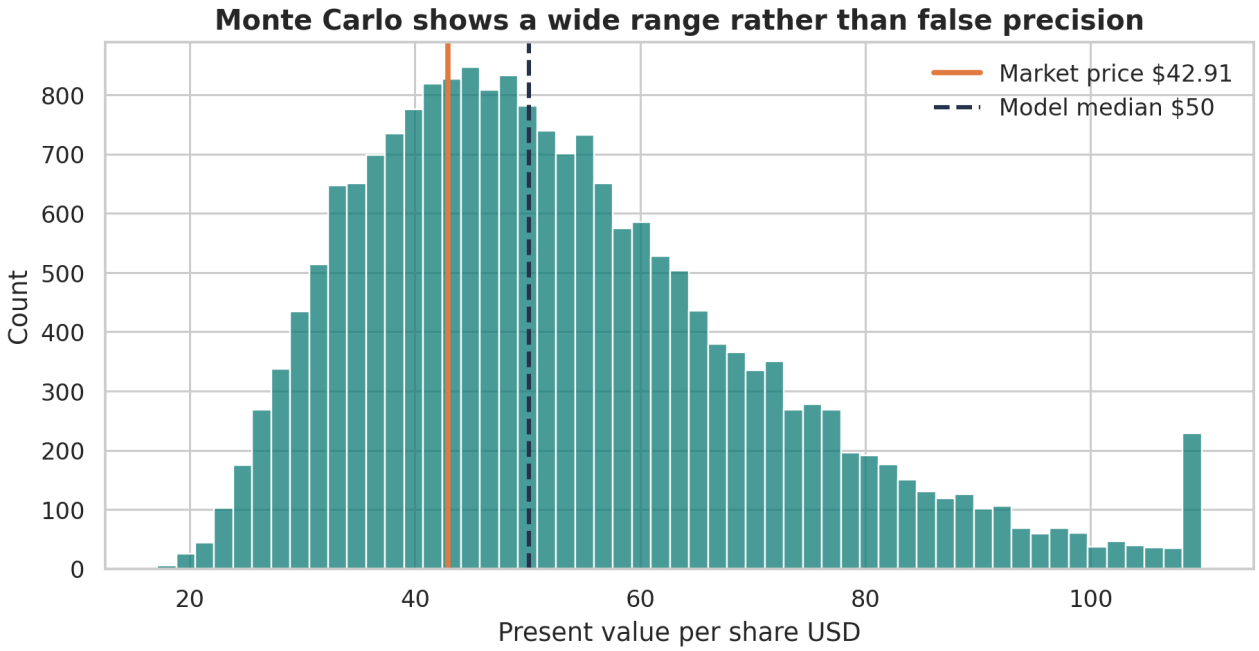


Figure 5 Twenty thousand judgemental simulations with a fixed random seed Upper one percent clipped for legibility

The Monte Carlo produces a 10th-to-90th percentile present-value range of approximately $33 to $78 per share, with a median near $50. This width is the result, not a flaw: small changes in how long growth persists, the mature margin and the terminal yield dominate the output. The model is most useful for identifying which claims must be researched, not for declaring a target price.

Bear Case and Risks

Risk	Mechanism	Evidence to monitor
Platform narrative stalls	Emerging products remain add-ons and core telematics dominates	Emerging-product ARR, independent wins and four-plus product adoption
Competition compresses value	Motive, Geotab, OEMs or point solutions close feature gaps	Win rates, pricing, churn and gross retention
Enterprise concentration	Large deals lengthen sales cycles and increase implementation risk	Net new ARR, cohort growth and customer concentration
Hardware and connectivity	Tariffs, memory cost or supply disruption pressure onboarding and margins	GAAP gross margin and connected-device asset balance
AI costs and liability	Inference expense, inaccurate agents, privacy or physical-world errors	AI gross-margin disclosures, incidents and regulation
Dilution	SBC growth absorbs otherwise attractive free cash flow	Share count, SBC as a percentage of revenue and buybacks
Governance	Dual-class control weakens outside shareholder influence	Capital allocation, related transactions and board oversight
Valuation	A lower terminal multiple overwhelms good operating results	FCF yield implied by price and required growth duration

A particularly important risk is that AI improves the product but not monetisation. If agent features reduce customer costs yet are bundled to defend the core subscription, they may strengthen retention without creating a new revenue pool. That would still improve business quality but would not justify treating the entire $130bn emerging-product TAM as incremental opportunity.

Falsification Framework

The thesis should be abandoned or materially revised if several of the following occur together:

- ARR growth falls below 20% before FY29 without a commensurate acceleration in free cash flow margin.
- ARR from customers above $100,000 grows slower than total ARR for four consecutive quarters.
- Emerging products remain below 10% of ARR by the end of FY29 or their contribution to net new ACV falls persistently below 15%.
- Four-plus product adoption among large customers plateaus while sales and marketing remains above 35% of revenue.
- GAAP gross margin falls below 72% for reasons that appear structural rather than temporary.
- Annual dilution remains above 2% after SBC falls below 15% of revenue, suggesting weak conversion from compensation discipline to per-share value.
- Major customers adopt OEM or competitor platforms across the organisation despite using Samsara's core products.
- A material privacy, safety or autonomous-agent failure weakens customer trust in using the platform for operational action.

What Would Increase Conviction

- Disclosure of emerging-product ARR by category, showing more than one product scaling independently.
- Evidence that European customers adopt multi-product bundles rather than only compliance and telematics tools.
- Stable gross margins while video, wearables, labels and agent usage expand.
- Sustained growth above 30% in the million-dollar cohort and broader cross-department deployments.
- A clear reduction in dilution and SBC alongside continued product investment.

Research Questions for Management and Customers

1. Which emerging application has the strongest independent product-market fit rather than benefiting mainly from bundling?

2. What percentage of large-customer expansion comes from new products, more assets, price and newly deployed business units?

3. How often does Samsara replace an integrated incumbent platform rather than a collection of point solutions?

4. What customer data can train shared models, what remains tenant-specific, and how does that affect the claimed data advantage?

5. How will operational agents be priced, and what proof of value is required before customers accept incremental pricing?

6. What is the fully loaded gross margin of high-video and high-agent workloads after cellular, storage and inference costs?

7. Why do customers churn, and how does churn differ by number of products and size cohort?

8. What is the international implementation model, particularly for European labour, privacy and tachograph requirements?

9. Where have customers chosen Motive, Geotab, Verizon Connect or an OEM instead, and what determined the loss?

10. At what point should buybacks offset dilution, and how does management define acceptable per-share compensation economics?

CV and Interview Use

Suggested CV entry

Independent Investment Research Samsara 2035 Thesis September 2026

- Developed an independent 2035 investment thesis on Samsara, combining company filings, industry research and operator-informed workflow analysis to test its potential to become a broader platform for physical operations.
- Built a reproducible Python scenario and Monte Carlo model linking long-term revenue growth, free cash flow margins, valuation and dilution; identified sustained enterprise expansion and emerging-product monetisation as the key value drivers.
- Translated operational problems in a UK heavy-haulage and plant setting into measurable value pools, while defining evidence that would falsify the investment thesis.

Thirty second interview answer

I researched Samsara because I have seen how fragmented data affects a real heavy-haulage and plant operation. My conclusion was that the opportunity is larger than telematics if Samsara becomes the layer that detects an issue, triggers action and proves the outcome. The company evidence is strong - particularly enterprise expansion and emerging products - but the current valuation already assumes a lot. My model showed that a fivefold shareholder return requires close to a bull case, so the most important next question is whether new products are becoming independently material without undermining margins or per-share economics.

Sources and Methodology

Financial figures are in US dollars unless stated otherwise. Fiscal years end around 31 January. FY27 revenue is the midpoint of management guidance issued on 3 September 2026. Market price and capitalisation are snapshots as of the report date and will change. Scenario probabilities and operator assumptions are the author's judgements.

[1] Samsara, Q2 FY27 financial results and Form 10-Q, 3 and 8 September 2026, SEC EDGAR.

[2] Samsara, Investor Day presentation, 24 June 2026.

[3] Samsara, Form 10-K for fiscal year ended 31 January 2026, SEC EDGAR.

[4] Samsara, Connected Operations Platform and UK fleet telematics product pages, accessed 15 September 2026.

[5] US Bureau of Economic Analysis, Gross Value Added by Industry, cited by Samsara Investor Day.

[6] Baillie Gifford, The long view why the AI paradigm shift matters to growth investors, January 2024.

[7] Baillie Gifford, investment research programme and long-term investment philosophy, accessed September 2026.

[8] Anthropic, Labor Market Impacts of AI A New Measure and Early Evidence, March 2026, cited by Samsara Investor Day.

Detailed URLs, raw source documents, editable assumptions, model outputs and reproducibility instructions are included in the accompanying project repository.